



CHAPTER – 1

ACCOUNTING BASICS

(3)

FUNDAMENTAL ACCOUNTING EQUATION

ACCOUNTING EQUATION

Accounting equation is a theoretical concept to understand dual aspect of every transaction and their effect on

assets, liabilities & equity.

ACCOUNTING EQUATION (1)

Assets

=

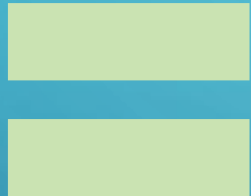
Equity

+

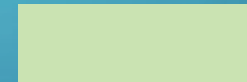
Liabilities

ACCOUNTING EQUATION (2)

Equity



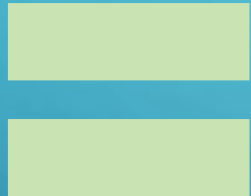
Assets



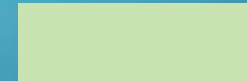
Liabilities

ACCOUNTING EQUATION (3)

Liabilities



Assets



Equity

ASSETS

**Non
current
Assets**



**Current
Assets**

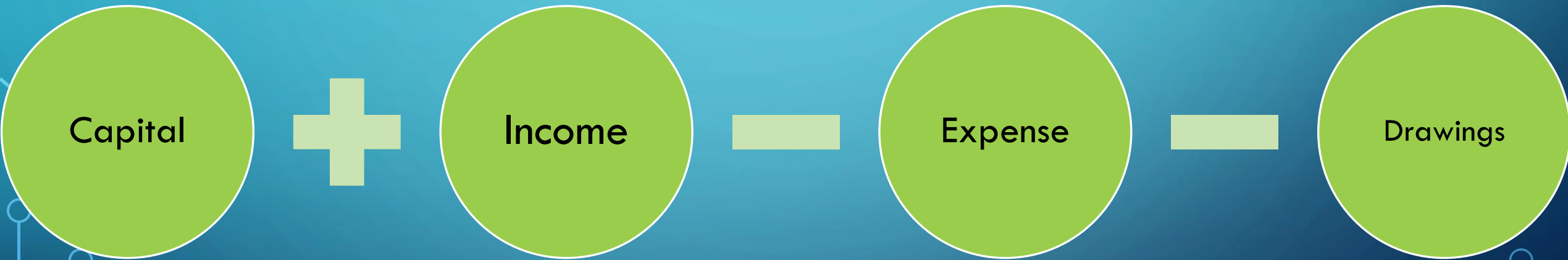
LIABILITIES

Non
current
Liabilities



Current
Liabilities

EQUITY





QUESTION – ANSWER SESSION

